Revision highlights

Check if you can:

1. define labour, entrepreneurship, capital and land;
2. differentiate labour, entrepreneurship, capital and land based on their main features;
3. calculate labour supply and average labour productivity, as well as identify the factors affecting them;
4. identify the factors affecting the occupational and geographical mobility of labour;
5. compare the advantages and disadvantages of various wage payment methods.

Key terms

factors of production 生產要素
labour 勞力
wage 工資
labour supply 勞力供應
labour productivity 勞工生產力
occupational mobility of labour 勞工的職業流動性
geographical mobility of labour 勞工的地域流動性
piece rate 計件工資
time rate 計時工資
profit-sharing scheme 利潤分享制
bonus 花紅
commission 佣金
tips 小費
entrepreneurship 企業家職能
profit 利潤
capital 資本
interest 利息
capital stock 資本存量
capital formation 資本形成
capital depreciation 資本折舊
capital accumulation 資本累積
land 土地
rent 租金

Exam-type questions

1. Under which of the following situations would Hong Kong's labour supply increase?
   A. More child care centres are established in every district.
   B. More international enterprises open branches in Hong Kong.
   C. More Hong Kong people enrol in post-secondary education.
   D. The government relaxes the criteria to apply for unemployment benefits.

2. Which of the following will decrease a firm's average labour productivity?
   A. Increasing the degree of division of labour.
   B. Hiring workers from other countries.
   C. Laying off some workers.
   D. Changing from a profit-sharing scheme to a time rate.

3. Refer to the following data of a firm.

	Year 1	Year 2
Number of workers	80	100
Average working hours of workers	30	35
Total outputs (units)	240	300

Which of the following are possible reasons for the change in labour productivity from Year 1 to Year 2?

(1) The firm provides more training to its workers.

(2) Some of the machines break down due to lack of maintenance.

(3) The firm switches from piece rates to time rates.

(4) The firm practises division of labour to a greater degree.

A. (1) and (3) only

B. (1) and (4) only

C. (2) and (3) only

D. (2) and (4) only

4. Which of the following have the lowest occupational mobility?

A. Taxi drivers

B. Engineers

C. Accounting trainees[1]

D. Fresh graduates from the university

5. An economy's occupational mobility of labour will increase if

A. the government increases the quota for a working holiday visa.

B. the minimum working age is raised from 16 to 18.

C. there is a higher degree of division of labour.

D. more retraining programmes are offered by trade unions.

6. The government decided to suspend the discount for using public transport. This would _____ the _____ mobility of local workers.

A. increase …… occupational

B. increase …… geographical

C. decrease …… occupational

D. decrease …… geographical

7. A troupe[2] employs a guitarist. The following are two possible wage payment methods.

Method A: $30,000 per month

Method B: $5,000 per show

From the viewpoint of the troupe, which of the following are possible reasons for using Method B instead of Method A?

(1) It is not difficult to monitor the work performance of the guitarist.

(2) A guitarist can earn a higher income by participating in more performances.

(3) Part of the business risk is transferred to the guitarist.

A. (1) and (2) only

B. (1) and (3) only

C. (2) and (3) only

D. (1), (2) and (3)

8. Which of the following is most likely paid by a piece rate?

A. A teacher in a secondary school

B. A marker at a public exam

C. A school janitor[3]

D. A basketball coach

1 trainees 見習生　2 troupe 劇團　3 school janitor 校工

★**9.** Refer to the following survey results in a factory.

	Jan	Apr
Workers found shirking	2%	5%
Quantity of below standard output	10%	5%

Which of the following is a possible reason for the above change?

A. The firm changed from a piece rate to a time rate.
B. The firm changed from a time rate to a piece rate.
C. The firm changed from a piece rate to a profit-sharing scheme.
D. The firm changed from a time rate to a profit-sharing scheme.

10. In economics, the owner of a fishing boat rental business provides the factor service of _____ and engages in _____ production.

A. entrepreneurship ..... primary
B. entrepreneurship ..... tertiary
C. labour ..... primary
D. capital ..... tertiary

11. The following are people and objects that are found at a private tutorial centre:

(1) The premises of the tutorial centre
(2) Tutors
(3) Projectors in classrooms
(4) Notes printed for the students
(5) Textbooks owned by students

Which of the above items are capital of the private tutorial centre?

A. (1), (2) and (3) only
B. (1), (3) and (4) only
C. (2), (4) and (5) only
D. (1), (3) (4) and (5) only

12. Which of the following statements about land is correct?

A. The supply of land may increase.
B. Land must be a free good.
C. Hydroelectric power[1] is an example of land.
D. The return on land is higher than that on capital.

13. Explain whether a landfill is 'land' in economics. (2 marks)

14. Refer to the following news report.

DATA

> ChatGPT is a large language model-based chatbot. It can generate blocks of text from simple prompts in just a few minutes. As of February 2023, there were over 200 e-books on Amazon's Kindle store listing ChatGPT as an author or co-author.

(a) To which type of factors of production does ChatGPT belong? Explain your answer. (2 marks)
(b) Explain how the use of ChatGPT affects the average labour productivity of authors. (2 marks)

★**15.** Refer to the following conversation.

Student: Lowering tuition fees for tertiary education courses will lower the labour supply of an economy.
Teacher: Providing more tertiary education can increase the total output of the economy over time.
Explain why BOTH statements could be correct. (5 marks)

1 hydroelectric power 水力發電

16. Refer to the following news report.

DATA

> Around 2,900 workers at more than 60 UK companies participated in a four-day workweek trial for six months. Under the trial, workers received full pay while working one day less per week and maintaining 100% output.
>
> Results of the trial showed that the companies' revenue remained the same while employees were less stressed and had better work-life balance.

Explain how the four-day workweek trial affected the UK's labour supply and productivity. (4 marks)

17. Explain how the labour mobility of construction workers will change if

(a) construction companies provide a travel allowance for workers living in other districts. (2 marks)

(b) the government imposes a stricter licence requirement on construction workers, requiring more specialised skills and training for different types of licences. (2 marks)

18. Explain why it is undesirable to pay foreign domestic helpers by a piece rate. (2 marks)

19. The following is a job advertisement for couriers.

> Courier[1]
>
> Deliver 25-40 packages each day
>
> Salary: $20 per package + Keeps all the tips

Explain ONE advantage and ONE disadvantage of the above wage payment method over a time rate

(a) from the viewpoint of the employer. (4 marks)

(b) from the viewpoint of couriers. (4 marks)

20. Amy is the owner of a minibus company. The company has 27 minibuses and operates 3 routes. She drives one of the minibuses and also employs drivers at a daily wage of $800.

(a) To what types of factors of production does Amy belong? Explain. (4 marks)

(b) State ONE advantage of the above wage payment method from the viewpoint of

(i) Amy.

(ii) minibus drivers. (2 marks)

(c) Amy has found that drivers often shirk at the terminals, causing delayed trips. After she changed the wage payment method, she received complaints that drivers usually overlooked passengers waiting at the minibus stops.

(i) Suggest the possible new wage payment method that may have caused the above complaints. (1 mark)

★ (ii) List TWO other disadvantages to Amy of adopting the new wage payment method. (2 marks)

1 courier 快遞員